

Revenue ↴

610 Other Income

610 Other Income

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

610-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
	610-10-05-1	Amended	Accounting Standards Update No. 2016-02	02/25/2016
	610-10-05-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
	610-10-05-2	Added	Accounting Standards Update No. 2014-09	05/28/2014
	610-10-15-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
	610-10-15-2	Added	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 610-10-05-1** The Other Income Topic specifies standards of financial accounting and reporting for income recognized that is not in a [contract](#) with a [customer](#) within the scope of Topic [606](#) on [revenue](#) from contracts with customers, other Topics (such as Topic [842](#) on leases and Topic [944](#) on insurance), or in accordance with other revenue or income recognition guidance.
- 610-10-05-2** This Topic includes the following Subtopics:
- a. Overall
 - b. Gains and Losses from the Derecognition of Nonfinancial Assets
 - c. Gains and Losses on Involuntary Conversions.

15 Scope and Scope Exceptions

 **General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

- 610-10-15-1** The scope Section of the Overall Subtopic establishes the pervasive scope for the Other Income Topic.

> Entities

- 610-10-15-2** The guidance in this Topic applies to all entities.

20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

610 Other Income

20 Gains and Losses from the Derecognition of Nonfinancial Assets

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

610-20-00-1	The following table identifies the changes made to this Subtopic.		
	Paragraph	Action	Accounting Standards Update
			Date

Business	Amended	Accounting Standards Update No. 2017-01	01/05/2017
Business	Added	Accounting Standards Update No. 2014-09	05/28/2014
Cash	Added	Accounting Standards Update No. 2017-05	02/22/2017
Cash Equivalents	Added	Accounting Standards Update No. 2017-05	02/22/2017
Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
Contract Asset	Added	Accounting Standards Update No. 2017-05	02/22/2017
Contract Liability	Added	Accounting Standards Update No. 2017-05	02/22/2017
Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
Disposal Group	Added	Accounting Standards Update No. 2014-09	05/28/2014
In Substance Nonfinancial Asset	Added	Accounting Standards Update No. 2017-05	02/22/2017
Intangible Assets	Added	Accounting Standards Update No. 2017-05	02/22/2017
Joint Venture	Added	Accounting Standards Update No. 2017-05	02/22/2017
Legal Entity	Added	Accounting Standards Update No. 2017-05	02/22/2017
Noncontrolling Interest	Added	Accounting Standards Update No. 2017-05	02/22/2017
Nonprofit Activity	Added	Accounting Standards Update No. 2014-09	05/28/2014
Parent	Added	Accounting Standards Update No. 2017-05	02/22/2017
Performance Obligation	Added	Accounting Standards Update No. 2014-09	05/28/2014
Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
Subsidiary	Added	Accounting Standards Update No. 2017-05	02/22/2017
Transaction Price	Added	Accounting Standards Update No. 2014-09	05/28/2014
Variable Interests	Added	Accounting Standards Update No. 2017-05	02/22/2017
610-20-05-1	Amended	Accounting Standards Update No. 2017-05	02/22/2017
610-20-05-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
610-20-05-2	Added	Accounting Standards Update No. 2017-05	02/22/2017
610-20-15-1 through 15-3	Added	Accounting Standards Update No. 2014-09	05/28/2014
610-20-15-2	Amended	Accounting Standards Update No. 2017-05	02/22/2017
610-20-15-3	Amended	Accounting Standards Update No. 2017-05	02/22/2017
610-20-15-3	Amended	Accounting Standards Update No. 2016-02	02/25/2016
610-20-15-3A	Added	Accounting Standards Update No. 2025-07	09/29/2025
610-20-15-4	Amended	Maintenance Update 2021-02 	01/19/2021
610-20-15-4 through 15-10	Added	Accounting Standards Update No. 2017-05	02/22/2017
610-20-25-1	Amended	Accounting Standards Update No. 2017-05	02/22/2017
610-20-25-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
610-20-25-2 through 25-7	Added	Accounting Standards Update No. 2017-05	02/22/2017
610-20-32-1	Superseded	Accounting Standards Update No. 2017-05	02/22/2017

610-20-32-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
610-20-32-2 through 32-6	Added	Accounting Standards Update No. 2017-05	02/22/2017
610-20-40-1	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
610-20-40-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
610-20-40-2	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
610-20-40-2	Added	Accounting Standards Update No. 2014-09	05/28/2014
610-20-45-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
610-20-45-2	Added	Accounting Standards Update No. 2017-05	02/22/2017
610-20-45-3	Added	Accounting Standards Update No. 2017-05	02/22/2017
610-20-50-1	Added	Accounting Standards Update No. 2017-05	02/22/2017
610-20-55-1 through 55-4	Amended	Accounting Standards Update No. 2017-05	02/22/2017
610-20-55-1 through 55-4	Added	Accounting Standards Update No. 2014-09	05/28/2014
610-20-55-5 through 55-19	Added	Accounting Standards Update No. 2017-05	02/22/2017

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

610-20-05-1 This Subtopic provides guidance on the recognition of gains and losses on transfers of nonfinancial assets and [in substance nonfinancial assets](#) to counterparties that are not [customers](#). Although the guidance in this Subtopic applies to [contracts](#) with noncustomers, it refers to revenue recognition principles in Topic [606](#) on [revenue](#) from contracts with customers.

610-20-05-2 The term *transfer* in this Subtopic is used broadly and includes sales and situations in which a [parent](#) transfers ownership interests (or [variable interests](#)) in a consolidated [subsidiary](#) or other changes in facts and circumstances that result in the derecognition of nonfinancial assets or in substance nonfinancial assets that do not constitute a business. For example, an entity may lose control of nonfinancial assets or in substance nonfinancial assets because of the expiration or termination of an existing contractual arrangement, a dilution event, a government action, or upon default of a subsidiary's nonrecourse debt. An entity also may lose control of nonfinancial assets or in substance nonfinancial assets by contributing those assets to a [joint venture](#) or other noncontrolled investee.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

610-20-15-1 The guidance in this Subtopic applies to all entities.

> Transactions

610-20-15-2 Except as described in paragraph [610-20-15-4](#), the guidance in this Subtopic applies to gains or losses recognized upon the derecognition of nonfinancial assets and [in substance nonfinancial assets](#). Nonfinancial assets within the scope of this Subtopic include [intangible assets](#), land, buildings, or materials and supplies and may have a zero carrying value. In substance nonfinancial assets are described in paragraphs [610-20-15-5 through 15-8](#).

- a. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)
- b. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)

610-20-15-3 The guidance in this Subtopic applies to a transfer of an ownership interest (or a [variable interest](#)) in a consolidated [subsidiary](#) (that is not a [business](#) or [nonprofit activity](#)) only if all of the assets in the subsidiary are nonfinancial assets and/or in substance nonfinancial assets.

- a. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)
- b. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)
- c. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)
- d. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)
- e. [Subparagraph superseded by Accounting Standards Update No. 2017-05.](#)

610-20-15-3A PENDING CONTENT

Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [606-10-65-3](#)

An entity shall apply the guidance in this Subtopic, including the guidance on noncash consideration in paragraphs [610-20-32-3\(a\)\(4\)](#) and [610-20-32-4](#), to a contract with share-based noncash consideration (for example, shares, share options, or other equity instruments) from a counterparty for the transfer of nonfinancial assets or in substance nonfinancial assets. The guidance in other Topics (including Topic [815](#) on derivatives and hedging and Topic [321](#) on equity securities) does not apply to share-based noncash consideration from a counterparty for the transfer of nonfinancial assets or in substance nonfinancial assets unless and until the entity's right to receive or retain the share-based noncash consideration is unconditional under this Subtopic. To assess whether the right is unconditional under this Subtopic, only the contract terms that relate to the entity's transfer of nonfinancial assets or in substance nonfinancial assets (or a specific outcome of the entity's transfer) within the scope of this Subtopic are evaluated. The determination of whether the right is unconditional is consistent with the guidance in paragraph [606-10-45-4](#), which states that a right to consideration is unconditional if only the passage of time is required before payment of that consideration is due.

610-20-15-4

The guidance in this Subtopic does not apply to the following:

- a. A transfer of a nonfinancial asset or an in substance nonfinancial asset in a [contract](#) with a [customer](#), see Topic [606](#) on [revenue](#) from contracts with customers
- b. A transfer of a subsidiary or group of assets that constitutes a [business](#) or [nonprofit activity](#), see Section [810-10-40](#) on consolidation
- c. Sale and leaseback transactions within the scope of Subtopic [842-40](#) on leases
- d. A conveyance of oil and gas mineral rights within the scope of Subtopic [932-360](#) on extractive activities—oil and gas
- e. A transaction that is entirely accounted for in accordance with Topic [860](#) on transfers and servicing (for example, a transfer of investments accounted for under Topic [320](#) on investments—debt securities, Topic [321](#) on investments—equity securities, Topic [323](#) on investments—equity method and [joint ventures](#), Topic [325](#) on investments—other, Topic [815](#) on derivatives and hedging, and Topic [825](#) on financial instruments)
- f. A transfer of nonfinancial assets that is part of the consideration in a business combination within the scope of Topic [805](#) on business combinations, see paragraph [805-30-30-8](#)
- g. A nonmonetary transaction within the scope of Topic [845](#) on nonmonetary transactions
- h. A lease contract within the scope of Topic [842](#) on leases
- i. An exchange of takeoff and landing slots within the scope of Subtopic [908-350](#) on airlines—intangibles
- j. A contribution of [cash](#) and other assets, including a promise to give, within the scope of Subtopic [720-25](#) on other expenses—contributions made or within the scope of Subtopic [958-605](#) on not-for-profit entities—revenue recognition
- k. A transfer of an investment in a venture that is accounted for by proportionately consolidating the assets, liabilities, revenues, and expenses of the venture as described in paragraph [810-10-45-14](#)
- l. A transfer of nonfinancial assets or in substance nonfinancial assets solely between entities or persons under common control, such as between a [parent](#) and its subsidiaries or between two subsidiaries of the same parent.

> In Substance Nonfinancial Assets

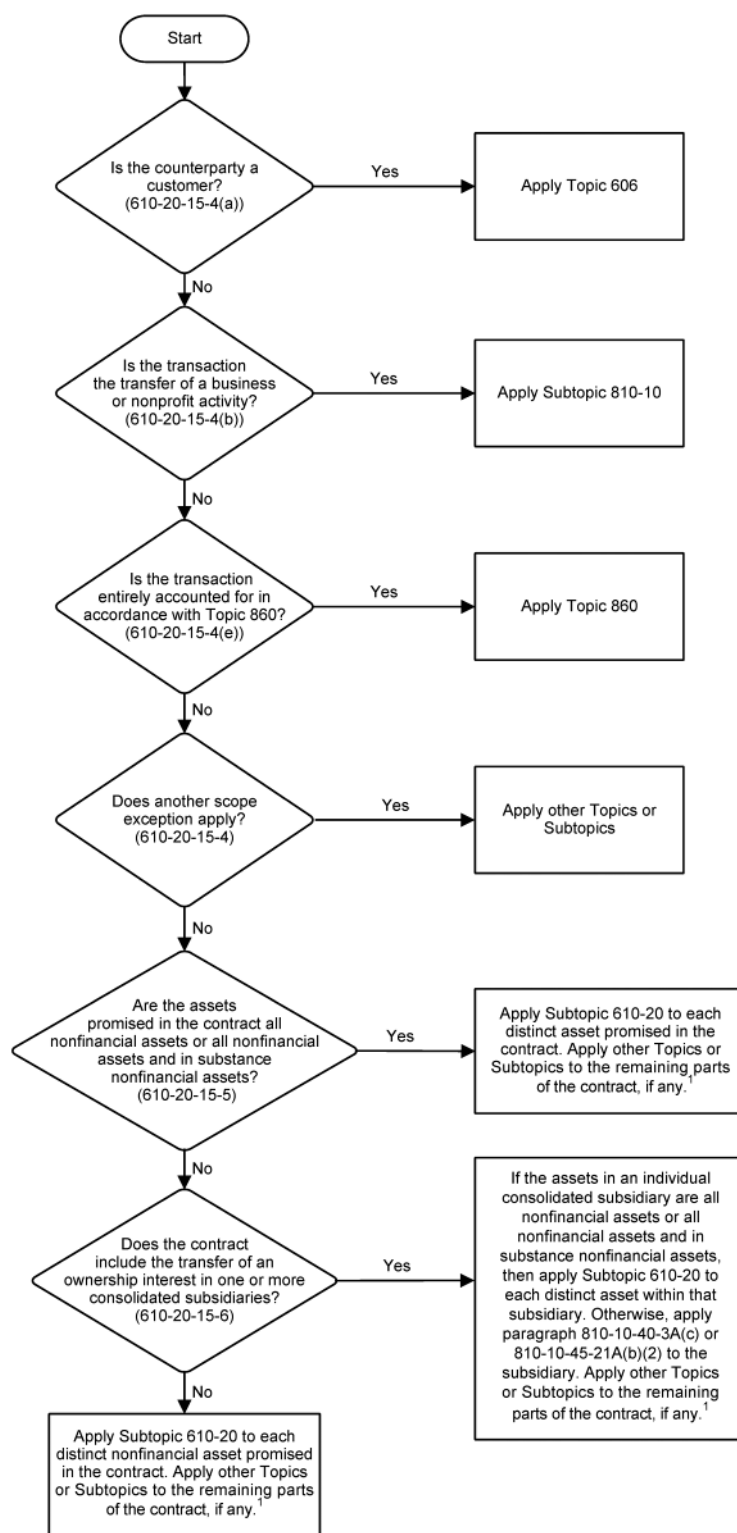
- 610-20-15-5** An [in substance nonfinancial asset](#) is a financial asset (for example, a receivable) promised to a counterparty in a contract if substantially all of the fair value of the assets (recognized and unrecognized) that are promised to the counterparty in the contract is concentrated in nonfinancial assets. If substantially all of the fair value of the assets that are promised to a counterparty in a contract is concentrated in nonfinancial assets, then all of the financial assets promised to the counterparty in the contract are in substance nonfinancial assets. For purposes of this evaluation, when a contract includes the transfer of ownership interests in one or more consolidated [subsidiaries](#) that is not a business, an entity shall evaluate the underlying assets in those subsidiaries.
- 610-20-15-6** When a contract includes the transfer of ownership interests in one or more consolidated subsidiaries that is not a business, and substantially all of the fair value of the assets promised to a counterparty in the contract is not concentrated in nonfinancial assets, an entity shall evaluate whether substantially all of the fair value of the assets promised to the counterparty in an individual subsidiary within the contract is concentrated in nonfinancial assets. If substantially all of the fair value of the assets in an individual subsidiary is concentrated in nonfinancial assets, then the financial assets in that subsidiary are in substance nonfinancial assets. (See Case C of Example 1 in paragraphs [610-20-55-9 through 55-10](#).)
- 610-20-15-7** When determining whether substantially all of the fair value of the assets promised to a counterparty in a contract (or an individual consolidated subsidiary within a contract) is concentrated in nonfinancial assets, [cash](#) or [cash equivalents](#) promised to the counterparty shall be excluded. Also, any liabilities assumed or relieved by the counterparty shall not affect the determination of whether substantially all of the fair value of the assets transferred is concentrated in nonfinancial assets.
- 610-20-15-8** If all of the assets promised to a counterparty in an individual consolidated subsidiary within a contract are not nonfinancial assets and/or in substance nonfinancial assets, an entity shall apply the guidance in paragraph [810-10-40-3A\(c\)](#) or [810-10-45-21A\(b\)\(2\)](#) to determine the guidance applicable to that subsidiary.

> Contracts Partially within the Scope of Other Topics

- 610-20-15-9** If the promises to a counterparty in a contract are not all nonfinancial assets or all nonfinancial assets and in substance nonfinancial assets, a contract may be partially within the scope of this Subtopic and partially within the scope of other Topics. For example, in addition to transferring nonfinancial assets and in substance nonfinancial assets that are within the scope of this Subtopic, an entity may issue a guarantee to the counterparty that is within the scope of Topic [460](#) on guarantees. An entity shall apply the guidance in paragraph [606-10-15-4](#) to determine how to separate and measure one or more parts of a contract that are within the scope of other Topics. (See also Case A of Example 1 in paragraphs [610-20-55-2 through 55-5](#) and Case C of Example 1 in paragraphs [610-20-55-9 through 55-10](#).)

> Decision Tree

- 610-20-15-10** The following decision tree depicts the process for evaluating whether assets promised to a counterparty in a [contract](#) (or parts of a contract) shall be derecognized within the scope of this Subtopic. The decision tree is not intended as a substitute for the guidance in this Subtopic.



¹If the transfer includes other contractual arrangements that are not assets of the seller to be derecognized (for example, guarantees), those contracts are separated and accounted for in accordance with other Topics or Subtopics.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Business

Paragraphs [805-10-55-3A through 55-6](#) and [805-10-55-8 through 55-9](#) define what is considered a business.

Cash

Consistent with common usage, cash includes not only currency on hand but demand deposits with banks or other financial institutions. Cash also includes other kinds of accounts that have the general characteristics of demand deposits in that the customer may deposit additional funds at any time and also effectively may withdraw funds at any time without prior notice or penalty. All charges and credits to those accounts are cash receipts or payments to both the entity owning the account and the bank holding it. For example, a bank's granting of a loan by crediting the proceeds to a customer's demand deposit account is a cash payment by the bank and a cash receipt of the customer when the entry is made.

Cash Equivalents

Cash equivalents are short-term, highly liquid investments that have both of the following characteristics:

- a. Readily convertible to known amounts of cash
- b. So near their maturity that they present insignificant risk of changes in value because of changes in interest rates.

Generally, only investments with original maturities of three months or less qualify under that definition. Original maturity means original maturity to the entity holding the investment. For example, both a three-month U.S. Treasury bill and a three-year U.S. Treasury note purchased three months from maturity qualify as cash equivalents. However, a Treasury note purchased three years ago does not become a cash equivalent when its remaining maturity is three months. Examples of items commonly considered to be cash equivalents are Treasury bills, commercial paper, money market funds, and federal funds sold (for an entity with banking operations).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Contract Asset

An entity's right to consideration in exchange for goods or services that the entity has transferred to a [customer](#) when that right is conditioned on something other than the passage of time (for example, the entity's future performance).

Contract Liability

An entity's obligation to transfer goods or services to a [customer](#) for which the entity has received consideration (or the amount is due) from the customer.

Corporate Joint Venture

A corporation owned and operated by a small group of entities (the joint venturers) as a separate and specific business or project for the mutual benefit of the members of the group. A government may also be a member of the group. The purpose of a corporate joint venture frequently is to share risks and rewards in developing a new market, product or technology; to combine complementary technological knowledge; or to pool resources in developing production or other facilities. A corporate joint venture also usually provides an arrangement under which each joint venturer may participate, directly or indirectly, in the overall management of the joint venture. Joint venturers thus have an interest or relationship other than as passive investors. An entity that is a subsidiary of one of the joint venturers is not a corporate joint venture. The ownership of a corporate joint venture seldom changes, and its stock is usually not traded publicly. A noncontrolling interest held by public ownership, however, does not preclude a corporation from being a corporate joint venture.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Disposal Group

A disposal group for a long-lived asset or assets to be disposed of by sale or otherwise represents assets to be disposed of together as a group in a single transaction and liabilities directly associated with those assets that will be transferred in the transaction. A disposal group may include a discontinued operation along with other assets and liabilities that are not part of the discontinued operation.

In Substance Nonfinancial Asset

Paragraphs [610-20-15-5 through 15-8](#) define an in substance nonfinancial asset.

Intangible Assets

Assets (not including financial assets) that lack physical substance. (The term intangible assets is used to refer to intangible assets other than goodwill.)

Joint Venture

An entity owned and operated by a small group of businesses (the joint venturers) as a separate and specific business or project for the mutual benefit of the members of the group. A government may also be a member of the group. The purpose of a joint venture frequently is to share risks and rewards in developing a new market, product, or technology; to combine complementary technological knowledge; or to pool resources in developing production or other facilities. A joint venture also usually provides an arrangement under which each joint venturer may participate, directly or indirectly, in the overall management of the joint venture. Joint venturers thus have an interest or relationship other than as passive investors. An entity that is a subsidiary of one of the joint venturers is not a joint venture. The ownership of a joint venture seldom changes, and its equity interests usually are not traded publicly. A minority public ownership, however, does not preclude an entity from being a joint

venture. As distinguished from a [corporate joint venture](#), a joint venture is not limited to corporate entities.

Legal Entity

Any legal structure used to conduct activities or to hold assets. Some examples of such structures are corporations, partnerships, limited liability companies, grantor trusts, and other trusts.

Noncontrolling Interest

The portion of equity (net assets) in a subsidiary not attributable, directly or indirectly, to a parent. A noncontrolling interest is sometimes called a minority interest.

Nonprofit Activity

An integrated set of activities and assets that is capable of being conducted and managed for the purpose of providing benefits, other than goods or services at a profit or profit equivalent, as a fulfillment of an entity's purpose or mission (for example, goods or services to beneficiaries, customers, or members). As with a not-for-profit entity, a nonprofit activity possesses characteristics that distinguish it from a [business](#) or a for-profit business entity.

Parent

An entity that has a controlling financial interest in one or more subsidiaries. (Also, an entity that is the primary beneficiary of a variable interest entity.)

Performance Obligation

A promise in a [contract](#) with a [customer](#) to transfer to the customer either:

- a. A good or service (or a bundle of goods or services) that is distinct
- b. A series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

Subsidiary

An entity, including an unincorporated entity such as a partnership or trust, in which another entity, known as its parent, holds a controlling financial interest. (Also, a variable interest entity that is consolidated by a primary beneficiary.)

Transaction Price

The amount of consideration to which an entity expects to be entitled in exchange for transferring promised goods or services to a [customer](#), excluding amounts collected on behalf of third parties.

Variable Interests

The investments or other interests that will absorb portions of a variable interest entity's (VIE's) expected losses or receive portions of the entity's expected residual returns are called variable

interests. Variable interests in a VIE are contractual, ownership, or other pecuniary interests in a VIE that change with changes in the fair value of the VIE's net assets exclusive of variable interests. Equity interests with or without voting rights are considered variable interests if the legal entity is a VIE and to the extent that the investment is at risk as described in paragraph [810-10-15-14](#). Paragraph [810-10-25-55](#) explains how to determine whether a variable interest in specified assets of a legal entity is a variable interest in the entity. Paragraphs [810-10-55-16 through 55-41](#) describe various types of variable interests and explain in general how they may affect the determination of the primary beneficiary of a VIE.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

610-20-25-1 To recognize a gain or loss from the transfer of nonfinancial assets or [in substance nonfinancial assets](#) within the scope of this Subtopic, an entity shall apply the guidance in Topic [810](#) on consolidation and in Topic [606](#) on [revenue](#) from [contracts](#) with [customers](#) as described in paragraphs [610-20-25-2 through 25-7](#).

> Determining Whether an Entity Has a Controlling Financial Interest

610-20-25-2 An entity shall first evaluate whether it has (or continues to have) a controlling financial interest in the [legal entity](#) that holds the nonfinancial assets and/or [in substance nonfinancial assets](#) by applying the guidance in Topic [810](#) on consolidation. For example, if a [parent](#) transfers ownership interests in a consolidated [subsidiary](#), the parent shall evaluate whether it continues to have a controlling financial interest in that subsidiary. Similarly, when an entity transfers assets directly to a counterparty (or a legal entity formed by the counterparty), the entity shall evaluate whether it has a controlling financial interest in the counterparty (or the legal entity formed by the counterparty).

610-20-25-3 If an entity determines it has (or continues to have) a controlling financial interest in the legal entity that holds the nonfinancial assets or in substance nonfinancial assets, it shall not derecognize those assets and shall apply the guidance in paragraphs [810-10-45-21A through 45-24](#).

610-20-25-4 Any nonfinancial assets or in substance nonfinancial assets transferred that are held in a legal entity in which the entity does not have (or ceases to have) a controlling financial interest shall be further evaluated in accordance with the guidance in paragraphs [610-20-25-5 through 25-7](#).

> Applying Revenue Recognition Guidance

- 610-20-25-5** After applying the guidance in paragraphs 610-20-25-2 through 25-4, an entity shall next evaluate a [contract](#) in accordance with the guidance in paragraphs 606-10-25-1 through 25-8. If a [contract](#) does not meet all of the criteria in paragraph 606-10-25-1, an entity shall not derecognize the nonfinancial assets or [in substance nonfinancial assets](#) transferred, and it shall apply the guidance in paragraph 350-10-40-3 to any [intangible assets](#) and the guidance in paragraph 360-10-40-3C to any property, plant, and equipment. An entity shall follow the guidance in paragraphs 606-10-25-6 through 25-8 to determine if and when a contract subsequently meets all of the criteria in paragraph 606-10-25-1.
- 610-20-25-6** Once a contract meets all of the criteria in paragraph 606-10-25-1, an entity shall identify each distinct nonfinancial asset and distinct in substance nonfinancial asset promised to a counterparty in accordance with the guidance in paragraphs 606-10-25-19 through 25-22. An entity shall derecognize each distinct asset when it transfers control of the asset in accordance with paragraph 606-10-25-30. In some cases, control of each asset may transfer at the same time such that an entity may not need to separate and allocate consideration to each distinct nonfinancial asset and in substance nonfinancial asset. That may be the case, for example, when a parent transfers ownership interests in a consolidated subsidiary that holds nonfinancial assets (or nonfinancial assets and in substance nonfinancial assets) and ceases to have a controlling financial interest in the subsidiary in accordance with Topic 810. However, control of each asset may not transfer at the same time if the parent has control of some of the assets in accordance with paragraph 606-10-25-30 (for example, through repurchase agreements).
- 610-20-25-7** For purposes of evaluating the indicators of the transfer of control in paragraph 606-10-25-30, if an entity has (or continues to have) a [noncontrolling interest](#) in the [legal entity](#) that holds the nonfinancial assets or in substance nonfinancial assets as a result of the transaction, the entity shall evaluate the point in time at which the legal entity holding the assets obtains (or has) control (for example, by evaluating whether the legal entity can direct the use of, and obtain substantially all of the benefits from, each distinct nonfinancial asset or in substance nonfinancial asset within it). (See Case A of Example 2 in paragraphs 610-20-55-11 through 55-14.) If the entity does not have a noncontrolling interest in the legal entity that holds the nonfinancial assets or in substance nonfinancial assets as a result of the transaction, it shall evaluate the point in time at which a counterparty (or counterparties, collectively) obtains control of the assets in the legal entity (for example, by evaluating whether a counterparty [or counterparties, collectively] can direct the use of, and obtain substantially all of the benefits from, each distinct nonfinancial asset or in substance nonfinancial asset within the legal entity).

32 Measurement

i General Note: The Measurement Section provides guidance on both the initial and subsequent measurement. Specifically, this Section provides the criteria and amounts used to measure a particular item at the date of initial recognition. In addition, this Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, fair value adjustments, depreciation and amortization, and so forth.

General

- 610-20-32-1** Paragraph superseded by Accounting Standards Update No. 2017-05.
- 610-20-32-2** When an entity meets the criteria to derecognize a distinct nonfinancial asset or a distinct [in substance nonfinancial asset](#), it shall recognize a gain or loss for the difference between the amount of consideration measured and allocated to that distinct asset in accordance with paragraphs [610-20-32-3 through 32-6](#) and the carrying amount of the distinct asset. The amount of consideration promised in a [contract](#) that is included in the calculation of a gain or loss includes both the [transaction price](#) and the carrying amount of liabilities assumed or relieved by a counterparty.
- 610-20-32-3** To determine the transaction price, an entity shall apply the following paragraphs in Topic [606](#) on [revenue](#) from contracts with [customers](#):
- a. Paragraphs [606-10-32-2 through 32-27](#) on determining the transaction price, including all of the following:
 1. Estimating variable consideration
 2. Constraining estimates of variable consideration
 3. The existence of a significant financing component
 4. Noncash consideration
 5. Consideration payable to a customer.
 - b. Paragraphs [606-10-32-42 through 32-45](#) on accounting for changes in the transaction price.
- 610-20-32-4** If an entity transfers control of a distinct nonfinancial asset or distinct in substance nonfinancial asset in exchange for a [noncontrolling interest](#), the entity shall consider the noncontrolling interest received from the counterparty as noncash consideration and shall measure it in accordance with the guidance in paragraphs [606-10-32-21 through 32-24](#). Similarly, if a [parent](#) transfers control of a distinct nonfinancial asset or in substance nonfinancial asset by transferring ownership interests in a consolidated [subsidiary](#) but retains a noncontrolling interest in its former subsidiary, the entity shall consider the noncontrolling interest retained as noncash consideration and shall measure it in accordance with the guidance in paragraphs [606-10-32-21 through 32-24](#). (See Case A of Example 2 in paragraphs [610-20-55-11 through 55-14](#).)
- 610-20-32-5** If a counterparty promises to assume or relieve a liability of an entity in exchange for a transfer of nonfinancial assets or in substance nonfinancial assets within the scope of this Subtopic, the transferring entity shall include the carrying amount of the liability in the consideration used to calculate the gain or loss. Although a liability assumed or relieved by a counterparty shall be included in the consideration used to calculate a gain or loss, an entity shall not derecognize the liability until it has been extinguished in accordance with the guidance in paragraph [405-20-40-1](#) (see paragraph [610-20-45-3](#) on how to present the liability if it is extinguished before or after the entity transfers control of the nonfinancial assets or in substance nonfinancial assets). If an entity transfers control of the nonfinancial assets or in substance nonfinancial assets before a liability is extinguished, it shall apply the guidance on constraining estimates of variable consideration in paragraph [606-10-32-11](#) to determine the carrying amount of the liability to be included in the gain or loss calculation.
- 610-20-32-6** An entity shall allocate the consideration calculated in accordance with the guidance in paragraphs [610-20-32-2 through 32-5](#) to each distinct nonfinancial asset or in substance nonfinancial asset by applying the guidance in paragraphs [606-10-32-28 through 32-41](#).

40 Derecognition

- i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

610-20-40-1 Paragraph superseded by Accounting Standards Update No. 2017-05.

610-20-40-2 Paragraph superseded by Accounting Standards Update No. 2017-05.

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

- 610-20-45-1** See paragraph [360-10-45-5](#) for guidance on presentation of a gain or loss recognized on the sale of a long-lived asset ([disposal group](#)).
- 610-20-45-2** When either party to a [contract](#) has performed, an entity shall apply the guidance in paragraphs [606-10-45-1 through 45-5](#) to present the relationship between the entity's performance and the counterparty's payment.
- 610-20-45-3** If an entity meets the criteria in paragraph [405-20-40-1](#) to derecognize a liability assumed (or relieved) by a counterparty before transferring control of a distinct nonfinancial asset, the liability shall be derecognized but no gain or loss shall be recognized. Instead, the entity shall record a [contract liability](#), which represents consideration received before transferring control of the asset. If an entity transfers control of a distinct nonfinancial asset before meeting the criteria to derecognize a liability

assumed by a counterparty, the entity shall recognize a [contract asset](#) to the extent the carrying amount of the liability is included in the calculation of the gain or loss.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

610-20-50-1 See paragraphs [360-10-50-3 through 50-3A](#) for guidance on disclosure of a gain or loss recognized upon the derecognition of a long-lived asset ([disposal group](#)).

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

610-20-55-1 The following Examples illustrate the guidance in this Subtopic.

· > Example 1—Scope

· · > Case A—Nonfinancial Assets, In Substance Nonfinancial Assets, and a Guarantee

610-20-55-2 Seller enters into a [contract](#) to transfer real estate, the related operating leases, and accounts receivable to Buyer. Seller guarantees Buyer that the cash flows of the property will be sufficient to meet all of the operating needs of the property for two years after the sale. In the event that the cash flows are not sufficient, Seller is required to make a payment in the amount of the shortfall.

- 610-20-55-3** Seller concludes that the assets promised in the contract are not a [business](#) within the scope of Topic [810](#) on consolidation and are not an output of Seller's ordinary activities within the scope of Topic [606](#) on [revenue](#) from contracts with [customers](#). In addition, assume that Seller concludes that substantially all of the fair value of the assets promised in the contract is concentrated in nonfinancial assets (that is, substantially all of the fair value is concentrated in the real estate and in-place lease intangible assets). Therefore, the accounts receivable promised in the contract are [in substance nonfinancial assets](#). In accordance with the guidance in this Subtopic, all of the assets in the contract, including the accounts receivable, are within the scope of this Subtopic.
- 610-20-55-4** Seller concludes that the guarantee, which is a liability of Seller, is within the scope of Topic [460](#) on guarantees. Therefore, Seller would apply the guidance in paragraph [606-10-15-4](#) to separate and measure the guarantee as described in paragraph [610-20-15-9](#).
- 610-20-55-5** Seller's conclusions would be the same if it transferred the real estate, leases, and receivables by transferring ownership interests in a consolidated [subsidiary](#). That is, Seller would still conclude that all of the assets in the subsidiary are nonfinancial assets and in substance nonfinancial assets within the scope of this Subtopic and that the guarantee is within the scope of Topic [460](#).

· · > Case B—Nonfinancial Assets and Financial Assets

- 610-20-55-6** Entity X enters into a contract to transfer machinery and financial assets, both of which have significant fair value. Entity X concludes that the assets promised in the contract are not a business within the scope of Topic [810](#) and are not an output of the entity's ordinary activities within the scope of Topic [606](#). Entity X also concludes that substantially all of the fair value of the assets promised in the contract is not concentrated in nonfinancial assets. Therefore, the financial assets promised in the contract are not in substance nonfinancial assets.
- 610-20-55-7** In accordance with the guidance in paragraph [610-20-15-9](#), Entity X should derecognize only the machinery in accordance with this Subtopic. Entity X should apply the guidance in paragraph [606-10-15-4](#) to separate and measure the financial assets.
- 610-20-55-8** If Entity X transfers the machinery and financial assets by transferring ownership interests in a consolidated subsidiary, it would still conclude that the financial assets are not in substance nonfinancial assets. As described in paragraph [610-20-15-8](#), if all of the assets promised to the counterparty in an individual consolidated [subsidiary](#) within a contract are not nonfinancial assets and/or in substance nonfinancial assets, those assets should not be derecognized in accordance with this Subtopic. Instead, Entity X should apply the guidance in paragraph [810-10-40-3A\(c\)](#) or [810-10-45-21A\(b\)\(2\)](#) to determine the guidance applicable to that subsidiary.

· · > Case C—One Subsidiary That Holds Nonfinancial Assets and One Subsidiary That Holds Financial Assets

- 610-20-55-9** Entity A enters into a contract to transfer ownership interests in two consolidated subsidiaries to a single counterparty. Subsidiary 1 consists entirely of nonfinancial assets, and Subsidiary 2 consists entirely of financial assets. Assume that the assets in Subsidiary 1 and Subsidiary 2 have an equal amount of fair value. Entity A concludes that the transaction is not the transfer of a business within the scope of Topic [810](#) and that the subsidiaries are not outputs of the entity's ordinary activities within the scope of Topic [606](#).
- 610-20-55-10** Entity A first considers whether substantially all of the fair value of the assets promised to the counterparty in the contract is concentrated in nonfinancial assets. Because the contract includes the transfer of ownership interests in one or more consolidated subsidiaries, Entity A evaluates the

underlying assets in those subsidiaries. Entity A concludes that because both the financial assets and nonfinancial assets have an equal amount of fair value, substantially all of the fair value of the assets promised to the counterparty in the contract is not concentrated in nonfinancial assets. Entity A next considers whether substantially all of the fair value of the assets within Subsidiary 1 or Subsidiary 2 is concentrated in nonfinancial assets. Because the assets transferred within Subsidiary 1 are entirely nonfinancial assets, Entity A concludes that those assets are within the scope of this Subtopic. Entity A also concludes that the financial assets in Subsidiary 2 are not in substance nonfinancial assets and, therefore, are not within the scope of this Subtopic. Entity A should apply the guidance in paragraph 606-10-15-4 to separate and measure the financial assets in Subsidiary 2 from the nonfinancial assets in Subsidiary 1 that are derecognized within the scope of this Subtopic.

· > Example 2—Transfer of Control

· · > Case A—Control Transfers under Topics 810 and 606

610-20-55-11 Entity A owns 100 percent of Entity B, a consolidated subsidiary. Entity B holds title to land with a carrying amount of \$5 million. Entity A concludes that the land is not an output of its ordinary activities within the scope of Topic 606 and that Entity B does not meet the definition of a business within the scope of Topic 810.

610-20-55-12 Entity A enters into a contract to transfer 60 percent of Entity B to Entity X for \$6 million cash due at contract inception. For ease of illustration, assume that at contract inception the fair value of the 40 percent interest retained by Entity A is \$4 million. Because all of the assets (the land) promised to Entity X in the contract are nonfinancial assets, Entity A concludes that it should derecognize the land in accordance with this Subtopic.

610-20-55-13 As described in paragraphs 610-20-25-2 through 25-7, Entity A first considers the guidance in Topic 810 and concludes that it no longer has a controlling financial interest in Entity B or in Entity X (the buyer). Entity A then determines that the contract meets the criteria in paragraph 606-10-25-1 and that control of the land has been transferred in accordance with the guidance in paragraph 606-10-25-30. Because Entity A continues to have a noncontrolling interest in Entity B, it evaluates the point in time at which Entity B, its former subsidiary, has control of the distinct nonfinancial asset as described in paragraph 610-20-25-7. Entity A concludes that it has transferred control of the distinct nonfinancial asset because Entity B controls the distinct nonfinancial asset. When evaluating the indicators of control in paragraph 606-10-25-30, Entity A concludes the following:

- a. It has the present right to payment.
- b. Entity B has legal title to the land.
- c. It does not have physical possession of the asset because it cannot restrict or prevent other entities from accessing the land.
- d. Entity B has the significant risks and rewards of ownership.
- e. There is no acceptance clause (assumption).

610-20-55-14 Entity A derecognizes the land and calculates the gain or loss as the difference between the amount of consideration measured in accordance with the guidance in paragraphs 610-20-32-2 and 610-20-32-6 and the carrying amount of the land. The amount of the consideration is \$10 million, which includes \$6 million in cash plus \$4 million for the fair value of the noncontrolling interest in Entity B. Entity A recognizes a gain of \$5 million (\$10 million consideration – \$5 million carrying amount of the assets) and presents the gain in the income statement in accordance with the guidance in paragraph 360-10-45-5. In accordance with the guidance in paragraph 610-20-32-4, Entity A records the noncontrolling interest in Entity B at \$4 million and subsequently accounts for that interest in accordance with other Topics.

· · > Case B—Control Transfers under Topic 810 but Not under Topic 606

610-20-55-15 Assume the same facts as in Case A, except that Entity A has the right but not the obligation to repurchase the 60 percent ownership interest in Entity B that it transferred to Entity X (that is, Entity A has a call option). The call option gives Entity A the right to repurchase the 60 percent ownership interest in 2 years for \$7 million.

610-20-55-16 Entity A concludes that although the call option represents a [variable interest](#) in Entity B, it does not have a controlling financial interest in Entity B in accordance with the guidance in Topic [810](#). However, when evaluating whether control of the land has been transferred in accordance with the guidance in paragraph [606-10-25-30](#), Entity A considers the guidance on repurchase features in paragraphs [606-10-25-30\(c\)](#) and [606-10-55-68](#) and concludes that it does not transfer control of the land. In addition, because the exercise price on the call option is an amount that is greater than the original selling price, the transaction is considered a financing agreement in accordance with the guidance in paragraph [606-10-55-68\(b\)](#). Entity A does not derecognize the land and records a financial liability of \$6 million in accordance with the guidance in paragraph [606-10-55-70](#). Entity A does not recognize an investment for its retained 40 percent ownership interest until it derecognizes the land.

· > Example 3—Sale of a Nonfinancial Asset for Variable Consideration

610-20-55-17 An entity sells (that is, does not out license) the rights to in-process research and development that it recently acquired in a business combination and measured at fair value of \$50 million in accordance with Topic [805](#) on business combinations. The entity concludes that the transferred in-process research and development is not a business. The buyer of the in-process research and development agrees to pay a nonrefundable amount of \$5 million at inception plus 2 percent of sales of any products derived from the in-process research and development over the next 20 years. The entity concludes that the sale of in-process research and development is not a good or service that is an output of the entity's ordinary activities.

610-20-55-18 Topic [350](#) on goodwill and other intangibles requires the entity to apply the guidance in this Subtopic to determine the amount and timing of income to be recognized. Therefore, the entity applies the derecognition guidance in this Subtopic as follows:

- a. The entity concludes that it does not have a controlling financial interest in the buyer.
- b. The entity concludes that the contract meets the criteria in paragraph [606-10-25-1](#).
- c. The entity also concludes that on the basis of the guidance in paragraph [606-10-25-30](#), it has transferred control of the in-process research and development asset to the buyer. This is because the buyer can use the in-process research and development's records, patents, and supporting documentation to develop potential products and the entity has relinquished all substantive rights to the in-process research and development asset.
- d. In estimating the consideration received, the entity applies the guidance in Topic [606](#) on determining the [transaction price](#), including estimating and constraining variable consideration. The entity estimates that the amount of consideration that it will receive from the sales-based royalty is \$100 million over the 20-year royalty period. However, the entity cannot assert that it is probable that recognizing all of the estimated variable consideration in other income would not result in a significant reversal of that consideration. The entity reaches this conclusion on the basis of its assessment of factors in paragraph [606-10-32-12](#). In particular, the entity is aware that the variable consideration is highly susceptible to the actions and judgments of third parties, because it is based on the buyer completing the in-process research and development asset, obtaining regulatory approval for the output of the in-process research and development asset, and marketing and selling the output. For the same reasons, the entity also concludes that it could not include any amount, even a minimum amount, in the estimate of the consideration. Consequently, the entity concludes that the estimate of the consideration to be used in the

calculation of the gain or loss upon the derecognition of the in-process research and development asset is limited to the \$5 million fixed upfront payment.

610-20-55-19 At inception of the contract, the entity recognizes a net loss of \$45 million (\$5 million of consideration, less the in-process research and development asset of \$50 million). The entity reassesses the transaction price at each reporting period to determine whether it is probable that a significant reversal would not occur from recognizing the estimate as other income and, if so, recognizes that amount as other income in accordance with paragraphs [606-10-32-14](#) and [606-10-32-42 through 32-45](#).

610 Other Income

30 Gains and Losses on Involuntary Conversions

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

610-30-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	610-30-05-1 through 05-3	Added	Accounting Standards Update No. 2014-09	05/28/2014
	610-30-15-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
	610-30-15-2	Added	Accounting Standards Update No. 2014-09	05/28/2014
	610-30-25-1 through 25-4	Added	Accounting Standards Update No. 2014-09	05/28/2014
	610-30-30-1	Added	Accounting Standards Update No. 2014-09	05/28/2014
	610-30-45-1	Amended	Maintenance Update 2017-19 	11/15/2017
	610-30-45-1	Added	Accounting Standards Update No. 2014-09	05/28/2014

610-30-60-1

Added

Accounting Standards Update No.
2014-09

05/28/2014

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 610-30-05-1** This Subtopic clarifies the accounting for involuntary conversions of nonmonetary assets (such as property or equipment) to monetary assets (such as insurance proceeds). Examples of such conversions are total or partial destruction or theft of insured nonmonetary assets and the condemnation of property in eminent domain proceedings.
- 610-30-05-2** The terms *nonmonetary* and *monetary* as used in this Subtopic have the same meaning as those terms have in Topic [845](#).
- 610-30-05-3** Although this Subtopic provides specific guidance for gains and losses resulting from involuntary conversions, the majority of other guidance for gains and losses is included in the Derecognition Section of the relevant asset or liability Topic.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure

requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Entities

610-30-15-1 The guidance in this Subtopic applies to all entities.

> Transactions

610-30-15-2 The guidance in this Subtopic applies to the following events and transactions:

- a. Those in which nonmonetary assets are involuntarily converted (for example, as a result of total or partial destruction, theft, seizure, or condemnation) to monetary assets that are then reinvested in other nonmonetary assets.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

610-30-25-1 As used in this Subtopic, the term *cost* refers to the cost of a nonmonetary asset or to its carrying amount, if different.

- 610-30-25-2** An involuntary conversion of a nonmonetary asset to monetary assets and the subsequent reinvestment of the monetary assets is not equivalent to an exchange transaction between an entity and another entity. The conversion of a nonmonetary asset to monetary assets is a monetary transaction, whether the conversion is voluntary or involuntary, and such a conversion differs from exchange transactions that involve only nonmonetary assets. To the extent the cost of a nonmonetary asset differs from the amount of monetary assets received, the transaction results in the realization of a gain or loss that shall be recognized.
- 610-30-25-3** Involuntary conversions of nonmonetary assets to monetary assets are monetary transactions for which gain or loss shall be recognized even though an entity reinvests or is obligated to reinvest the monetary assets in replacement nonmonetary assets. However, the requirement of this Subtopic with respect to gain recognition does not apply to an involuntary conversion of a last-in, first-out (LIFO) inventory for which replacement is intended but not made by year-end and the taxpayer does not recognize gain for income tax reporting purposes. Paragraph [270-10-45-6\(b\)](#) provides an exception for the liquidation of a LIFO inventory at an interim date if replacement is expected by year-end. Accordingly, that exception applies to an involuntary conversion of a LIFO inventory if replacement is expected by year-end.
- 610-30-25-4** In some cases, a nonmonetary asset may be destroyed or damaged in one accounting period, and the amount of monetary assets to be received is not determinable until a subsequent accounting period. In those cases, gain or loss shall be recognized in accordance with Topic [450](#).

30 Initial Measurement

 **General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

- 610-30-30-1** The cost of subsequently acquired nonmonetary assets shall be measured by the consideration paid and not be affected by a previous transaction.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

610-30-45-1 Gain or loss resulting from an involuntary conversion of a nonmonetary asset to monetary assets shall be classified in accordance with the provisions of Subtopic [220-20](#).

60 Relationships

General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Income Taxes

610-30-60-1 For guidance on temporary differences resulting from involuntary conversions, see paragraph [740-10-55-66](#).